



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the Year Ended 31 March 2022

For the	Quarter Ended 31 March		Year ended 31 March		Variance
	2022 Rs. Unaudited	2021 Rs. Audited	2022 Rs. Unaudited	2021 Rs. Audited	
Income	837,056,105	766,097,462	2,990,487,671	2,675,721,881	11.76%
Interest income	757,522,458	708,935,872	2,707,690,749	2,441,043,999	10.92%
Interest expenses	(309,568,216)	(283,145,913)	(1,135,498,848)	(1,333,791,609)	-14.87%
Net interest income	447,954,242	425,789,959	1,572,191,900	1,107,252,390	41.99%
Fee and commission income	38,732,936	32,131,122	102,077,785	122,533,493	-16.69%
Other operating income	40,800,711	25,030,468	180,719,138	112,144,389	61.15%
Total operating income	527,487,889	482,951,549	1,854,988,823	1,341,930,272	38.23%
Impairment charges for loans and receivables to customers	(60,169,205)	(64,920,623)	(144,717,414)	(110,464,561)	31.01%
Net operating income	467,318,684	418,030,926	1,710,271,409	1,231,465,711	38.88%
Operating expenses					
Personnel expenses	(248,488,979)	(99,458,957)	(602,009,612)	(399,738,824)	50.60%
Depreciation and amortization	(2,614,346)	(42,963,440)	(45,255,826)	(69,077,693)	-34.49%
Other operating expenses	(30,253,366)	(97,250,442)	(442,501,581)	(502,795,174)	-11.99%
Operating profit/(loss) before Value Added Tax and NBT	185,961,993	178,358,087	620,504,390	259,854,020	138.79%
Value Added Tax and NBT on financial services	(61,846,519)	(30,703,008)	(149,764,604)	(66,291,132)	125.92%
Profit /(loss) before income tax	124,115,474	147,655,080	470,739,786	193,562,888	143.20%
Income tax (expense)/reversal	(1,043,566)	4,779,797	(18,288,862)	0	100.00%
Profit/(loss) for the year	123,071,908	152,434,877	452,450,924	193,562,888	133.75%
Other Comprehensive Income					
Fair Value Gain/(Loss) on Investment in Quoted Shares	(20,868,252)	(16,556,775)	(10,953,877)	(16,556,775)	-33.84%
Actuarial gain/(loss) on retirement benefit plan	3,203,144	-	3,203,144	(230,413)	-1490.18%
Deferred tax effect on above			768,755	(55,299)	-1490.18%
Total comprehensive income for the year net of tax	105,406,799	135,878,102	445,468,945	176,720,401	152.08%
Basic earnings per share (Rs.)	0.58	0.72	2.14	0.92	
Dividend per share (Rs.)	-	-	-	-	

Figures in brackets indicate deductions.

Colombo
30th May, 2022

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

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As At 31st March

	2022 Rs.	2021 Rs.
	Unaudited	Audited
ASSETS		
Cash and cash equivalents	335,051,280	225,161,509
Financial assets - fair value through other comprehensive income	725,670,749	849,632,814
Loans and receivables	14,144,556,253	11,447,030,340
Investments with banks and other financial institutions	242,460,738	31,684,600
Other assets	346,931,525	269,749,720
Real estate stock	9,338,093	24,764,518
Deferred tax asset	371,656,109	370,832,054
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	37,899,934	50,664,120
Property, plant and equipment	84,505,805	61,805,370
Right-of-use of Assets	115,496,075	129,167,820
Investment properties	659,500,002	628,000,002
Total assets	17,873,492,307	14,888,918,620
LIABILITIES		
Due to banks - bank overdrafts	680,746,641	79,180,458
Deposits from customers	9,204,263,014	8,692,940,933
Interest bearing borrowings	3,874,859,251	2,650,800,328
Lease liability - Rights of use assets	76,660,167	104,375,186
Other liabilities	660,460,298	434,886,967
Retirement benefit obligations	44,103,980	39,804,738
Total liabilities	14,541,093,352	12,001,988,610
EQUITY		
Stated capital	2,431,879,039	2,431,879,039
Statutory reserve fund	375,682,122	330,437,030
Revaluation reserve	141,120,773	141,120,773
Retained earnings	383,717,020	(16,506,832)
Total equity	3,332,398,955	2,886,930,010
Total equity and liabilities	17,873,492,307	14,888,918,620
Net assets per share	15.79	13.68

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

Sgd.
Sanjeeva Jayasinghe
Head of Finance

Sgd.
K.M.M.Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board;

Sgd.
Rajendra Theagarajah
Chairman

Sgd.
Prakash Schaffter
Director

Colombo
30th May, 2022

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

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For the Period ended 31st March 2022

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April, 2020	2,431,879,039	311,080,742	141,120,773	(173,870,945)	2,710,209,609
Profit/(Loss) for the year	-	-	-	193,562,888	193,562,888
Transfer to statutory reserve	-	19,356,288	-	(19,356,288)	-
Other comprehensive income (expense) net of taxes	-	0	-	(16,842,487)	(16,842,487)
Balance as at 31st March, 2021	2,431,879,039	330,437,030	141,120,773	(16,506,832)	2,886,930,010
Profit/ Loss for the year				452,450,924	452,450,924
Transfer to statutory reserve		45,245,092		(45,245,092)	-
Other comprehensive income (expense) net of taxes				(6,981,979)	(6,981,979)
Balance as at 31st March, 2022	2,431,879,039	375,682,122	141,120,773	383,717,020	3,332,398,955

Figures in brackets indicate deductions.

Colombo
30th May, 2022

For the year ended 31st March

	2022 Rs.	2021 Rs.
Cash flows from operating activities		
Profit/(loss) before income tax	470,739,786	193,562,888
Adjustment for:		
Depreciation and amortization	45,255,826	69,077,693
Profit on disposal of property, plant and equipment	(483,465)	(433,641)
Property, plant and equipment writte off	(72)	31,886,945
Gold loans written off - Gampaha robbery	0	58,236,918
Impairment charges for loans and receivables to customers	144,717,414	110,464,561
Finance expenses	1,135,498,848	1,333,791,609
Investment income	(69,002,053)	(47,241,809)
Provision for gratuity	9,182,059	6,894,587
Operating profit before working capital changes	1,735,908,343	1,756,239,751
Change in loans and receivables to customers	(2,842,243,326)	643,179,186
Change in other assets	(77,181,805)	9,682,433
Change in deposits from customers	534,878,009	(300,066,595)
Change in other liabilities	225,573,331	(7,725,902)
	(423,065,449)	2,101,308,873
Rent Paid	(73,674,667)	(67,336,244)
Interest paid	(826,252,882)	(979,477,392)
Gratuity paid	(1,679,673)	(9,907,520)
Net cash from operating activities	(1,324,672,670)	1,044,587,717
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(55,676,503)	(105,274,587)
Proceeds from sale of property, plant and equipment	970,169	467,452
Expenses incurred for real estate stock	15,426,425	(7,991,809)
Net change in financial assets-FVTOCI	113,008,188	68,288,497
Net change in investments with bank and other financial institutions	(205,664,739)	47,274,816
Investment income received	40,589,824	41,411,853
Net cash generated from investing activities	(91,346,637)	44,176,222
Cash flows from financing activities		
Interest bearing borrowings obtained	6,969,081,477	3,018,000,000
Repayment of interest bearing borrowings	(5,697,482,046)	(3,417,212,273)
Interest paid on borrowings	(347,256,535)	(348,674,729)
Net cash used in financing activities	924,342,895	(747,887,002)
Net change in cash and cash equivalents	(491,676,411)	340,876,937
Cash and cash equivalents at the beginning of the year	145,981,051	(194,895,886)
Cash and cash equivalents at the end of the year (Note A)	(345,695,360)	145,981,051
Analysis of cash and cash equivalents at the end of the year		
Cash in hand	268,417,590	138,317,736
Cash at bank	66,633,690	86,843,773
Bank overdrafts - secured	(680,746,641)	(79,180,458)
	(345,695,361)	145,981,051

The accounting policies and notes on pages 06 to 63 form an integral part of these financial statements.

Figures in brackets indicate deductions.

39. FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has five reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- d) Pawning - Provision of loans against gold
- e) Others

For the year ended 31 March	Finance leases, Hire purchases		Loans		Factoring		Pawning		Others		Total	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Interest income	1,945,068,504	1,792,099,417	151,428,161	153,740,816	3,927,145	18,280,832	538,264,885	429,681,125	69,002,053	47,241,809	2,707,690,749	2,441,043,999
Fee and commission income	64,853,036	77,371,335	-	3,109,202	2,062,165	1,921,243	-	-	35,162,583	40,131,713	102,077,785	122,533,493
Other income	81,498,103	54,497,653	-	-	-	-	-	-	99,221,035	57,646,736	180,719,138	112,144,389
Total segmental income	2,091,419,643	1,923,968,405	151,428,161	156,850,018	5,989,310	20,202,075	538,264,885	429,681,125	203,385,671	145,020,258	2,990,487,671	2,675,721,881
Less: Interest expense	(794,119,507)	(959,058,164)	(57,497,814)	(78,186,466)	(2,274,162)	(10,070,313)	(204,381,099)	(214,187,088)	(77,226,266)	(72,289,577)	(1,135,498,848)	(1,333,791,609)
Segmental results	1,297,300,136	964,910,241	93,930,348	78,663,552	3,715,148	10,131,762	333,883,786	215,494,037	126,159,406	72,730,681	1,854,988,823	1,341,930,272
Depreciation and amortization	(31,649,996)	(49,670,072)	(2,291,602)	(4,049,314)	(90,638)	(521,546)	(8,145,702)	(11,092,850)	(3,077,888)	(3,743,911)	(45,255,826)	(69,077,693)
Impairment charge	(13,282,260)	(9,022,286)	(26,664,007)	(45,150,930)	(11,493,413)	(44,599,390)	-	(11,691,955)	(16,277,733)	-	(144,717,414)	(110,464,561)
Other Expenses	(730,486,618)	(648,963,896)	(52,890,507)	(52,906,273)	(2,091,933)	(6,814,258)	(188,004,018)	(144,933,532)	(71,038,116)	(48,916,038)	(1,044,511,193)	(902,533,998)
Value Added Tax and NBT on financial services	(117,529,433)	(47,666,405)	(8,509,658)	(3,885,966)	(336,575)	(500,507)	(30,248,338)	(10,645,370)	(11,429,463)	(3,592,884)	(168,053,466)	(66,291,132)
Profit/(loss) after tax	404,351,829	209,587,582	3,574,574	(27,328,931)	(10,297,411)	(42,309,939)	107,485,729	37,130,330	24,336,206	16,477,848	452,450,924	193,562,888
Segmental assets	10,524,916,827	9,953,838,908	1,180,009,524	1,161,026,946	136,190,398	148,784,116	3,582,516,137	2,224,732,482	2,449,859,420	1,400,536,168	17,873,492,307	14,888,918,620
Segmental liabilities	8,562,613,029	8,023,810,476	960,004,254	935,906,263	110,798,565	119,935,189	2,914,578,791	1,793,361,532	1,993,098,714	1,128,975,150	14,541,093,352	12,001,988,610

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2021. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2021.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Stated Capital

Value of Ordinary Shares (Rs.)

No. of Ordinary Shares

31-Mar-22

2,431,879,039

211,101,155

31-Mar-21

2,431,879,039

211,101,155

Share Price During the Period

For the Quarter Ended

31-Mar-22

22.50

12.00

13.00

31-Mar-21

18.00

11.70

13.90

Highest (Rs)

Lowest (Rs)

Closing (Rs)

NOTES TO THE FINANCIAL STATEMENTS

Shareholders as at 31st March 2022

	Name	No. of Shares	%
1	Janashakthi PLC	196,010,494	92.85
2	First Capital PLC	2,138,299	1.013
3	Hatton National Bank PLC/ Sashimaal Ruhash Fernando	838,681	0.397
4	Mr.A.Rajaratnam	704,183	0.334
5	Seylan Bank PLC/Mohamed Mushtaq Fued	552,540	0.262
6	Hatton National Bank PLC/ Mushtaq Mohamed Fuad	500,452	0.237
7	Mr.R.A.B.K. Kumara	500,000	0.237
8	Seylan Bank PLC/Imiya Pathirannehalage Indrani Lalitha Gunathilaka	406,750	0.193
9	LOLC Finance PLC/V.S.Rajasooriyar	375,000	0.178
10	Mr.L.P.Mendis	358,695	0.170
11	Commercial Credit and Finance PLC	330,000	0.156
12	DFCC Bank PLC/G.A.C. De Silva	323,868	0.153
13	Sandwave Limited	293,069	0.139
14	Hatton National Bank PLC/ Koralagodage Don Sahan Rachira Kulatunga & Mrs. Oshadhini Upulika Kumari Jayasundara	282,362	0.134
15	Mr.N.L.S. Fernando	257,902	0.122
16	Seylan Bank PLC/Haloluwa Gedara Nilupul Gamini Haloluwa	233,777	0.111
17	Mr.E.P.I. Fernando	216,442	0.103
18	Mrs. V. Saraswathi	216,100	0.102
19	Mr.M.K. De Livera	207,728	0.098
20	Dialog Finance PLC/F.F.Haniffa	199,364	0.094
	Others	5,939,349	2.814
	Total	211,101,155	100.00

Directors' Shareholding as at 31st March 2022

	Name of the Director	No. of Shares	%
1	Mr. Rajendra Theagarajah - Chairman	-	-
2	Mr. Prakash Anand Schaffter	10	-
3	Ms. Minette D. A. Perera	-	-
4	Ms. Indrani Goonesekara	-	-
5	Mr. Ramesh Schaffter	10	-
6	Mr. Sriyan Cooray	-	-
7	Mr. K.M.M. Jabir	-	-
8	Mr. R.M.D.J.Ratnayake	-	-
	Total	20	

CEO's Shareholding as at 31st March 2022

Mr. K.M.M. Jabir	-	-
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Public Holding as at 31st March 2022

	12,952,342
Number of Public Shareholders	792
Public Shareholding Percentage	6.14%
Float Adjusted market capitalization (Rs)	168,500,942

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 04th March 2021. Due to the above non-compliance, currently the securities of the Company have been transferred to the Second Board with effect from 12th March 2021 at the expiration of extensions granted. Entities that are not compliant only with the minimum public holding requirement are listed on the Second Board.